

Chapter Review

Key Concepts

oligopoly

game theory (the study of how people behave in strategic situations)

collusion (an agreement among firms in a market about quantities to produce or prices to charge)

cartel (a group of firms acting in unison)

Nash equilibrium (a situation in which economic actors interacting with one another each choose their best strategy given the strategies that all the other actors have chosen)

prisoners' dilemma (a particular "game" between two captured prisoners that illustrates why cooperation is difficult to maintain even when it is mutually beneficial)

dominant strategy (a strategy that is best for a player in a game regardless of the strategies chosen by the other players)